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KCB Kenya Q1'25 Earnings Note

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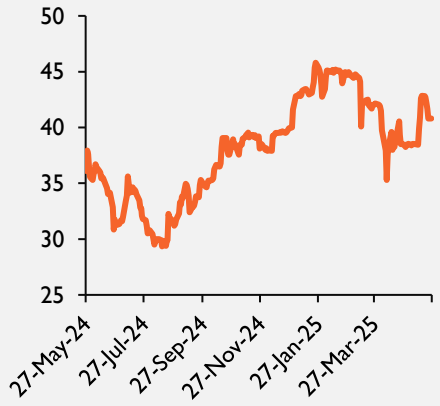
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KCB Group Q1'25 Earnings Note

May 27th, 2025

Ticker Information	
NSE Code:	KCB
Bloomberg Ticker	KNCB:KN
Issued Shares (Bn):	3.21
52-week high:	KES 45.8
52-week low:	KES 29.35

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	6.0%	-9.2%	4.1%	13.0%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 40.80	KES 53.04

Summary

- **KCB Group's net earnings for Q1'25 remained steady, rising marginally by 0.4% y/y to KES 16.5 Bn. Return on average equity (ROE) and return on average assets (ROA) stayed resilient, increasing by 3.3% y/y and 0.6% y/y, respectively.** The performance was primarily supported by an 8.5% y/y growth in net interest income, which reached KES 33.7 Bn. Subsidiaries continued to perform well, contributing 34.9% of total assets.
- Operating expenses rose by 3.4% y/y to KES 28.26 Bn, driven by higher staff costs coming in at KES 10.93 Bn and inflationary pressures

Key Highlights

- **Solid core business:** The lender showcased resilient core business performance, with Net Interest Income soaring 8.5% y/y to KES 33.72 Bn despite only modest loan book growth and a low-interest environment. Notably, interest income from government securities declined significantly by 7.9% y/y to KES 12.3 Bn as the yield curve softened. Non-funded income plunged 9.8% y/y to KES 15.72 Bn, primarily due to a substantial 34.7% y/y decline in foreign exchange income to KES 3.1 Bn, reflecting reduced trade profit margins amid currency stability. However, this decline was partially offset by a 7.4% y/y increase in fees and commissions from loans.

- **Asset Quality Under Pressure:** The loan book continued to deteriorate, recording a 13.6% y/y increase in Gross Non-Performing Loans (NPLs) to KES 233.3 Bn. Consequently, this pushed the lender's NPL ratio to 20.4%, one of the highest in the market. Building & Construction and Real Estate accounted for the largest portion of the NPL stock, with the building and construction sector facing challenges from pending bills on government projects. Notably, the bank's NPL coverage ratio improved to 67.0%, supported by a 20.1% y/y increase in provisions to KES 122.5 Bn

Balance Sheet Dynamics

KCB Group's total assets expanded by 1.9%y/y to KES 2.03 Tn. The asset growth was driven by a 0.1% y/y increase in loans and advances, which climbed to KES 1.02 Tn, below our estimates, given strong credit demand and favorable lending rates. We expect the loan book to improve through the year. Notably, the lender increased its holdings in government securities, which rose 1.3% y/y to KES 398.24 Bn.

On the liabilities side, total liabilities contracted to KES 1.73 Tn. During the period under review, deposits declined by 1.6% y/y to KES 1.42 Tn, reflecting a tough macroeconomic environment that squeezed disposable income. The deposit mix comprised 61.0% local currency and 39.0% foreign currency denominations, with demand deposits accounting for the largest share. Additionally, in terms of client mix, 53.0% of deposits came from corporate clients, while 47.0% came from retail clients. To boost deposit mobilization, the lender plans to expand its branch network across all subsidiaries in the region.

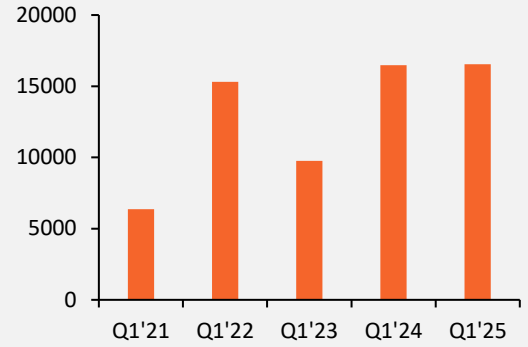
Outlook

Moving forward, we expect the lender's growth to remain sustained, driven by an increase in net interest income amid heightened credit demand while interest rates stay subdued. We also anticipate a reduction in the cost of funds, supported by declining interest rates. Innovation will continue to be a key growth driver as the bank remains steadfast in enhancing its banking services. This is evidenced by its acquisition of a 75.0% stake in Riverbank Solutions, a transaction expected to be completed by the end of the quarter. Subsidiary expansion is also likely to bolster the bank's performance, having already contributed 34.6% of net earnings. The sale of NBK to Access Bank will further allow the bank to focus on high-potential segments. On the downside, rising NPLs remain a key concern. However, the bank has reported ongoing monitoring and mitigation efforts through rehabilitation and recovery strategies

Recommendation

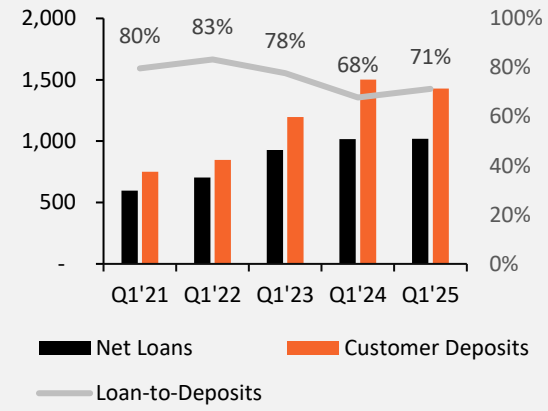
- **We maintain our *BUY* recommendation on KCB Group, on account of its strong core business and regional expansion.** At the current market price, the stock is trading at P/E ratio of 2.2x and a P/B ratio of 0.6x. Our one-year target price for KCB Group currently stands at KES 53.04 per share - representing a c.30.0% upside potential from current levels.

Chart 2: Group Net Profitability Trends



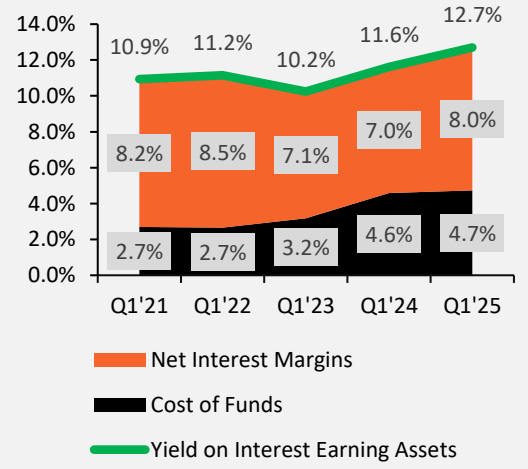
Source: Company filings, AIB-AXYS Research.

Chart 3: Modest growth in Loan Book



Source: Company filings, AIB-AXYS Research.

Chart 4: Stable Net Interest Margin



Source: Company filings, AIB-AXYS Research.

KCB Group Q1'25 Earnings Note

Income Statement (KES Mn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	y/y % Change
Net Interest Income	16,726.2	36,416.3	22,060.0	31,064.6	33,719.3	▲ 8.5%
Net non-Interest Income	6,313.9	14,793.6	14,790.3	17,423.2	15,722.4	▼ (9.8%)
Total Operating income	23,040.1	51,209.9	36,850.3	48,487.8	49,441.7	▲ 2.0%
Provision for Impairment	(2,861.1)	(6,583.2)	(4,118.3)	(6,318.4)	(5,604.5)	▼ (11.3%)
Total Operating expenses	(13,922.2)	(29,294.2)	(22,996.2)	(27,330.2)	(28,260.0)	▲ 3.4%
Profit before tax	9,117.9	21,915.7	13,854.1	21,157.7	21,181.7	▲ 0.1%
Profit after tax	6,376.0	15,300.9	9,752.8	16,484.6	16,543.4	▲ 0.4%
Core EPS Annualized	7.94	9.52	12.14	20.52	20.59	▲ 0.4%

Balance Sheet (KES Mn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	y/y % Change
Government Securities	212,127.3	213,040.1	297,718.6	393,040.2	398,242.8	▲ 1.3%
Loans and Advances	597,110.2	606,967.4	928,824.1	1,017,419.1	1,018,573.7	▲ 0.1%
Total Assets	**977,522.6**	**1,022,153.0**	**1,630,603.8**	**1,996,195.8**	**2,034,172.6**	▲ 1.9%
Customer Deposits	749,414.2	786,035.1	1,196,587.2	1,501,007.2	1,427,806.5	▼ (4.9%)
Total Liabilities	830,014.4	869,233.4	1,415,758.1	1,757,622.9	1,728,672.3	▼ (1.6%)
Shareholder's Funds	**147,508.2**	**152,919.6**	**208,144.9**	**231,454.9**	**297,085.1**	▲ 28.4%

Ratio Analysis	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	y/y % Change
Spreads Analysis						
Yield on Assets	10.9%	11.2%	10.2%	11.6%	12.7%	▲ 1.1%
Cost of Funds	2.7%	2.7%	3.2%	4.6%	4.7%	▲ 0.1%
Net Interest Margin	8.2%	8.5%	7.1%	7.0%	8.0%	▲ 0.9%
ROE	13.6%	18.9%	20.9%	20.1%	23.4%	▲ 3.3%
ROA	2.0%	2.7%	2.9%	2.4%	3.1%	▲ 0.6%
Profit Margin	27.7%	29.9%	26.5%	34.0%	33.5%	▼ (0.5%)
Operating Efficiency						
Cost to Income Less LLP	48.0%	44.3%	51.2%	43.3%	45.8%	▲ 2.5%
Cost to Assets Less LLP	1.1%	2.2%	1.2%	1.1%	1.1%	▲ 0.1%
Loan to Deposit Ratio	79.7%	77.2%	77.6%	67.8%	71.3%	▲ 3.56%
Asset Quality						
Total NPL Ratio	15.2%	14.6%	17.4%	18.3%	20.4%	▲ 2.1%
NPL Coverage	61.6%	61.6%	57.3%	62.0%	67.0%	▲ 4.9%
Cost of Risk	0.5%	2.2%	0.4%	0.6%	1.1%	▲ 0.5%
Capital Adequacy						
Core Capital/TRWA	18.2%	18.2%	13.6%	17.6%	16.7%	▼ (0.9%)
Total Capital /TRWA	21.8%	21.8%	17.0%	20.0%	19.7%	▼ (0.3%)
Liquidity	37.3%	36.9%	43.7%	47.9%	47.6%	▼ (0.3%)

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